



CHAPTER lxxxvii.

An Act to confer further powers on the Metropolitan Water Board with reference to their undertaking. A.D. 1906.

[20th July 1906.]

WHEREAS the period limited for the execution by the Metropolitan Water Board (in this Act referred to as "the Board") as successors in title of the company of proprietors of the East London Waterworks of certain works as hereinafter specified is about to expire and it is expedient that the said period should be extended:

And whereas the period limited for the execution by the Board (as successors in title of the Southwark and Vauxhall Water Company) of certain of the works authorised by the Southwark and Vauxhall Water Act 1894 as hereinafter specified has recently expired but the whole of the lands required for the said works are now vested in the Board and a considerable part of the said works has been already completed and it is expedient that powers such as are in this Act contained for completing the construction of the said works should be conferred upon the Board:

And whereas by the said Southwark and Vauxhall Water Act 1894 certain powers of raising money were conferred upon the said Southwark and Vauxhall Water Company which were completely exercised by that company prior to its dissolution under the provisions of the Metropolis Water Act 1902 and it is expedient that the Board should be empowered to raise further moneys for the purpose of completing the construction of the said works as by this Act provided:

And whereas it is expedient that the Board should be authorised upon and subject to the terms and conditions hereinafter contained to raise from time to time by the issue of bills

A.D. 1906. any moneys which they are for the time being authorised to borrow or to raise by the creation and issue of stock :

And whereas it is expedient that such other provisions as are contained in this Act should be made :

And whereas the purposes of this Act cannot be effected without the authority of Parliament :

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows (that is to say) :—

Short title. **1.** This Act may be cited as the Metropolitan Water Board Act 1906.

Interpretation. **2.** In this Act unless the subject or context otherwise require—

“The Board” means the Metropolitan Water Board ;

“Statutory borrowing power” means any power whether or not coupled with a duty of borrowing or continuing on loan or re-borrowing money or of redeeming or paying off or creating or continuing payment of or in respect of any annuity rentcharge rent or other security representing or granted in lieu of consideration money for the time being existing under any Act of Parliament public or local passed or to be passed or under any Provisional Order confirmed by Act of Parliament passed or to be passed or under any order or sanction of any Government department made or given or to be made or given by authority of any Act of Parliament passed or to be passed ;

“The water fund” means the water fund established by the Board under the Metropolis Water Act 1902.

Extension of time for completion of works. **3.** The time limited by the East London Waterworks Act 1900 for the construction of the storage reservoirs (Reservoir No. 1) and (Reservoir No. 2) described in and authorised by that Act is hereby extended till the expiration of seven years from the passing of this Act and the said Act shall be read and have effect as if the said time as extended by this section had been the time limited by the said Act for the construction of the said storage reservoirs.

4. It shall be lawful for the Board upon lands belonging to them to continue the construction of and to complete and at all times thereafter maintain the service reservoir situate partly in the parish of Camberwell or Saint Giles Camberwell and partly in the parish of Lewisham in the county of London described in and authorised by the Southwark and Vauxhall Water Act 1894 together with all such approaches communications works and conveniences ancillary or subsidiary thereto or connected therewith as may be necessary or expedient notwithstanding that the period by that Act limited for the completion of the said reservoir has expired :

A.D. 1906.
Power to complete construction of Honor Oak Reservoir.

Provided that if the said reservoir be not completed within three years from the passing of this Act then on the expiration of that period the powers by this Act granted to the Board for continuing and completing the same or otherwise in relation thereto shall cease except in so far as such powers shall then have been exercised.

5. Part II. of the Railways Clauses Act 1863 relating to extension of time shall be deemed to be incorporated with this Act and for the purposes of this Act the expressions "railway" and "railway and works" shall mean the works mentioned in the two last preceding sections of this Act and the expression "the company" shall mean the Board.

Applying provisions of Railways Clauses Act 1863 as to extension of time.

6.—(1) The Board may from time to time (in addition to any moneys they are now authorised to borrow) borrow at interest any sum or sums of money for the purposes hereinafter mentioned not exceeding the respective amounts following (that is to say):—

Power to borrow for purposes of Act.

(a) For paying the costs charges and expenses of and in relation to this Act as hereinafter defined the sum requisite for that purpose :

(b) For the completion of the service reservoir referred to in the section of this Act of which the marginal note is "Power to complete construction of Honor Oak Reservoir" (including the amount of any moneys or liabilities already expended or incurred by the Board upon or in relation to the construction of the said reservoir) the sum of one hundred and eighty thousand pounds :

(c) With the sanction of the Local Government Board such further sum or sums as may be required for the purposes of this Act.

A.D. 1906.

(2) In order to secure the repayment of the moneys borrowed under this section and the payment of the interest thereon the Board may mortgage or charge the water fund and all the revenues of the Board.

Periods for
and mode of
payment off
of money
borrowed.

7. The Board shall pay off all moneys borrowed by them under this Act within the respective periods following (that is to say):—

As to moneys borrowed for the purpose (a) mentioned in the section of this Act of which the marginal note is “Power to borrow for purposes of Act” within five years from the passing of this Act:

As to moneys borrowed for the purpose (b) mentioned in the said section within sixty years from the date or respective dates of borrowing:

As to moneys borrowed with the sanction of the Local Government Board as mentioned in the said section within such period from the date or respective dates of borrowing as the said Board may determine. The said respective periods are in this Act referred to as “the prescribed period”:

And such repayment shall be effected—

Either by equal yearly or half-yearly instalments of principal or of principal and interest;

Or by means of a sinking fund;

Or partly by such instalments and partly by a sinking fund.

Every such instalment and payment to the sinking fund shall be paid out of the water fund and the first payment by instalments or to the sinking fund shall be made within one year from the time of the borrowing of the money in respect of which such payment is made.

Formation
maintenance
and applica-
tion of sink-
ing fund.

8.—(1) Subject to the provisions of the section of this Act of which the marginal note is “Increase reduction or discontinuance of payments to sinking fund” if the Board determine to repay by means of a sinking fund any moneys borrowed under this Act such sinking fund shall be formed and maintained either—

(a) By payment to the fund throughout the prescribed period of such equal annual sums as will together amount to the moneys for the repayment of which the sinking

fund is formed A sinking fund so formed is herein- A.D. 1906.
after called a non-accumulating sinking fund; or

- (b) By payment to the fund throughout the prescribed period of such equal annual sums as with accumulations at a rate not exceeding three pounds per centum per annum will be sufficient to pay off within the prescribed period the moneys for the repayment of which such sinking fund is formed A sinking fund so formed is hereinafter called an accumulating sinking fund.

(2) Every sum paid to a sinking fund and in the case of an accumulating sinking fund the interest on the investments of the sinking fund shall unless applied in repayment of the loan in respect of which the sinking fund is formed be forthwith invested in securities in which trustees are by law for the time being authorised to invest or in mortgages bonds debentures debenture stock stock or other securities (not being annuity certificates rentcharges or securities payable to bearer) duly issued by any local authority as defined by section 34 of the Local Loans Act 1875 but exclusive in every case of the securities of the Board the Board being at liberty from time to time to vary and transpose such investments.

(3) In the case of a non-accumulating sinking fund the interest on the investments of the fund may be applied by the Board towards the equal annual payments to the fund.

(4) The Board may at any time apply the whole or any part of any sinking fund in or towards the discharge of the money for the repayment of which the fund is formed Provided that in the case of an accumulating sinking fund the Board shall during the residue of the prescribed period pay into the fund each year and accumulate a sum equal to the interest which would have been produced by the sinking fund or the part of the sinking fund so applied if invested at the rate per centum per annum on which the annual payments to the sinking fund are based.

(5)—(a) If and so often as the income of an accumulating sinking fund is not equal to the income which would be derived from the amount invested if the same were invested at the rate per centum per annum on which the equal annual payments to the fund are based any deficiency shall be made good by the Board:

A.D. 1906.
—

(b) If and so often as the income of an accumulating sinking fund is in excess of the income which would be derived from the amount invested if the same were invested at the rate per centum per annum on which the equal annual payments to the fund are based any such excess may be applied towards such equal annual payments.

(6) Any expenses connected with the formation maintenance investment application or management of or otherwise in relation to any sinking fund under this Act shall be paid by the Board in addition to the payments provided for by this Act.

Increase re-
duction or
discontinu-
ance of pay-
ments to
sinking fund.

9.—(1) If it appears to the Board at any time that the amount in the sinking fund with the future payments thereto in accordance with the provisions of this Act together with the accumulations thereon (in the case of an accumulating sinking fund) would probably not be sufficient to repay within the prescribed period the moneys for the repayment of which the sinking fund is formed it shall be the duty of the Board to make such increased payments to the sinking fund as will cause the sinking fund to be sufficient for that purpose. Provided that if it appears to the Local Government Board that any such increase is necessary the Board shall increase the payments to such extent as the said Local Government Board may direct.

(2) If the Board desire to accelerate the repayment of any loan they may increase the amounts payable to any sinking fund.

(3) If in the opinion of the Local Government Board the amount in any sinking fund with the future payments thereto in accordance with the provisions of this Act together with the accumulations thereon (in the case of an accumulating sinking fund) will probably be more than sufficient to repay within the prescribed period the moneys for the repayment of which the sinking fund is formed the Board may reduce the payments to be made to the sinking fund either temporarily or permanently to such an extent as the said Local Government Board approve.

(4) If in the opinion of the Local Government Board the amount in any sinking fund at any time together with the accumulations thereon (in the case of an accumulating sinking fund) will probably be sufficient to repay the loan in respect of which it is formed within the prescribed period the Board may with the consent of the said Local Government Board discontinue the equal annual payments to such sinking fund until the said Local Government Board otherwise direct.

10. Any surplus of any sinking fund remaining after the discharge of the whole of the moneys for the repayment of which it was formed shall be applied to such purpose or purposes as the Board with the consent of the Local Government Board may determine.

A.D. 1906.
Surplus of
sinking fund.

11.—(1) The Board may from time to time during the period which was fixed for the discharge of any loan raised by them under this Act borrow on the security of the water fund and of the revenues of the Board such amount as may be required for the purpose of paying off the whole or any part of such loan or if any part of such loan has been repaid otherwise than by capital money for re-borrowing the amount so repaid and for the purposes of this section the expression “capital money” includes any instalments annual appropriations and sinking fund and the proceeds of the sale exchange or disposition of land or other property but does not include money previously borrowed for the purpose of repaying a loan.

Power to re-
borrow.

(2) All moneys re-borrowed by the Board shall be repaid within the period fixed for the discharge of the original loan and every loan for re-borrowing shall for the purpose of the ultimate discharge be deemed to form part of the same loan as the original loan and the obligations of the Board with respect to the discharge of the original loan shall not be in any way affected by means of the re-borrowing.

12. Every mortgage authorised to be made under this Act shall be by deed truly stating the date consideration and the time and place of payment and shall be sealed with the common seal of the Board and may be made according to the form A contained in the Schedule to this Act or to the like effect.

Form of
mortgage.

13. There shall be kept at the office of the Board a register of all mortgages granted under this Act and within fourteen days after the date of any mortgage an entry shall be made in the register of the number and date thereof and of the names and description of the parties thereto as stated in the deed. Every such register shall be open to public inspection during office hours at the said office without fee or reward and any clerk or other person having the custody of the same refusing to allow such inspection shall be liable to a penalty not exceeding five pounds.

Register of
mortgages.

14. Any mortgagee or other person entitled to any mortgage under this Act may transfer his estate and interest therein to any other person by deed duly stamped truly stating its date

Transfer of
mortgages.

A.D. 1906. — and the consideration for the transfer and such transfers may be according to the form B contained in the said Schedule to this Act or to the like effect.

There shall be kept at the office of the Board a register of the transfers of mortgages under this Act and within thirty days after the date of such deed of transfer if executed within the United Kingdom or within thirty days after its arrival in the United Kingdom if executed elsewhere the same shall be produced to the Board who shall on payment of a sum not exceeding five shillings cause an entry to be made in such register of its date and of the names and description of the parties thereto as stated in the transfer and until such entry is made the Board shall not be in any manner responsible to the transferee.

On the registration of any transfer the transferee his executors or administrators shall be entitled to the full benefit of the original mortgage and the principal and interest secured thereby and any transferee may in like manner transfer his estate and interest in any such mortgage and no person except the last transferee his executors or administrators shall be entitled to release or discharge any such mortgage or any money secured thereby.

If the Board wilfully neglect or refuse to make in the register any entry by this section required to be made the Board shall be liable to a penalty not exceeding twenty pounds.

For protec-
tion of
lenders.

15. A person lending money to the Board shall not be bound to inquire as to the observance by them of any provision of this Act or be bound to see to the application or be answerable for any loss misapplication or non-application of such money or of any part thereof.

Board not to
regard trusts.

16. The Board shall not be bound to see to the execution of any trust whether expressed or implied or constructive to which any loan or security for loan given by them may be subject but the receipt of the person in whose name any loan or security for loan stands in the register of the Board shall be a sufficient discharge to the Board in respect thereof notwithstanding any trusts to which such loan or security may be subject and whether or not the Board have had express or implied notice of any such trust or of any charge or incumbrance upon or transfer of such loan or security or any part thereof or interest thereon not entered in their register and the Board shall not be bound to see to the application of the money paid on any such receipt or be answerable or accountable for any loss misapplication or non-application of any such money.

17. All moneys from time to time borrowed or re-borrowed under this Act shall be applied by the Board only for the purposes for which the same are respectively authorised to be borrowed or re-borrowed excepting that moneys which have been borrowed or re-borrowed in excess of the amount required shall be applied in such manner as the Board with the approval of the Local Government Board determine.

A.D. 1906.

Application
of borrowed
moneys.

18. For the purpose of enabling the Board to raise money which they are authorised to borrow under this Act the Board may create and issue a sufficient additional amount of metropolitan water stock and the provisions of sections 17 and 18 of the Metropolis Water Act 1902 and the regulations made by the Local Government Board under that Act with respect to the metropolitan water stock by that Act authorised to be created and issued shall apply to any additional amount of such stock created and issued under the powers of this Act and to all matters incidental to or consequent upon the issue of stock in like manner in all respects as if the money authorised to be borrowed under this Act were authorised to be borrowed under the said Metropolis Water Act 1902 :

Power to
raise money
by creation
and issue of
additional
amounts of
metropolitan
water stock.

Provided that the Local Government Board may by order make all such variations additions amendments and adaptations of all or any of the said regulations as may be necessary to make the same applicable to metropolitan water stock issued under the provisions of this Act.

19.—(1) If at the expiration of six months from the time when any principal money or interest has become due on any mortgage granted by the Board under this Act and after demand in writing the same is not paid the mortgagee or other person entitled thereto may without prejudice to any other mode of recovery apply for the appointment of a receiver to the High Court and the court may if it thinks fit appoint a receiver on such terms as it thinks fit.

Receiver.

(2) Any receiver so appointed shall have the like power as the Board would have for the purpose of raising any sum required to meet a deficiency in the water fund so far as it may be necessary to meet that deficiency in order to provide the moneys required for payment of the principal money or interest so in arrear.

(3) The receiver shall also have such other powers and such duties as the court thinks fit and shall apply all moneys raised by him after payment of expenses and costs as the court directs.

A.D. 1906.

(4) The court may at any time discharge the receiver and shall have full jurisdiction over him and all persons interested in his acts.

(5) No application for the appointment of a receiver under this section shall be made unless the sum or sums due and owing to the applicant amount to one thousand pounds or unless a joint application is made by two or more mortgagees or other persons to whom there may be due after such lapse of time and demand as aforesaid moneys collectively amounting to that sum.

Return to
Local
Government
Board as to
repayment of
debt.

20.—(1) The clerk of the Board shall within twenty-one days after the thirty-first day of March in each year if during the twelve months next preceding the said thirty-first day of March any sum is required to be paid as an instalment or annual payment or to be appropriated or to be paid to a sinking fund in pursuance of the provisions of this Act or in respect of any money raised thereunder and at any other time when the Local Government Board may require such a return to be made transmit to the Local Government Board a return in such form as may be prescribed by that Board verified by statutory declaration of an officer of the Board if and as may be required by the said Local Government Board showing for the year next preceding the making of such return or for such other period as the said Local Government Board may prescribe the amounts which have been paid as instalments or annual payments and the amounts which have been appropriated and the amounts which have been paid to or invested or applied for the purpose of the sinking fund and the description of the securities upon which any investment has been made and the purposes to which any portion of the sinking fund or investment or of the sums accumulated by way of compound interest has been applied during the same period and the total amount (if any) remaining invested at the end of the year and in the event of his failing to make such return the clerk of the Board shall for each offence be liable to a penalty not exceeding twenty pounds to be recovered by action on behalf of the Crown in the High Court and notwithstanding the recovery of such penalty the making of the return shall be enforceable by writ of mandamus to be obtained by the Local Government Board out of the High Court.

(2) If it appears to the Local Government Board by that return or otherwise that the Board have failed to pay any instalment or annual payment required to be paid or to appropriate any sum required to be appropriated or to set apart any sum

required for any sinking fund (whether such instalment or annual payment or sum is required by this Act or by the Local Government Board in virtue thereof to be paid appropriated or set apart) or have applied any portion of any sinking fund to any purposes other than those authorised the Local Government Board may by order direct that the sum in such order mentioned not exceeding double the amount in respect of which default has been made shall be paid or applied as in such order mentioned and any such order shall be enforceable by writ of mandamus to be obtained by the Local Government Board out of the High Court.

A.D. 1906.

21. The provisions of section 27 (Provisions as to local inquiries) of the *Metropolis Water Act* 1902 shall extend and apply to this Act as if the said section had been in terms re-enacted in this Act.

Application
of s. 27 of
Metropolis
Water Act
1902.

22. Instead of raising for any purposes by mortgages or by the creation and issue of metropolitan water stock money which they are authorised to raise by either of those methods whether under this Act or any other Act of Parliament or otherwise howsoever the Board may if they see fit raise for those purposes such money by means of bills subject to and in accordance with the following provisions:—

Power to
raise money
by bills.

- (1) Bills issued by the Board shall be called "Metropolitan Water Board bills":
- (2) A Metropolitan Water Board bill shall be a bill in the form prescribed by regulations made in pursuance of this Act for the payment of the sum named therein in the manner and at the date therein mentioned so that the date be not less than three nor more than twelve months from the date of the bill:
- (3) Such bills may be offered for purchase by tender in such manner and on such conditions and after public advertisement in such manner as the Board may determine:
- (4) The bills shall be issued under the authority of a warrant sealed by the Board:
- (5) Each bill shall be for the amount directed by the Board not being less than five hundred pounds:
- (6) Each bill shall be under the common seal of the Board:
- (7) A register of the bills issued or renewed by the Board shall be kept by the comptroller of the Board or such

A.D. 1906.

other person as may be appointed by the Board and such register shall show the amount of each bill the principal money raised by such bill the statutory borrowing power in respect of which the bill is issued the date of issue the date when the same falls due and the date of payment thereof Such register shall at all reasonable times be open to inspection without payment of any fee by any creditor of the Board:

(8) The Board shall before issuing any bill under this Act and from time to time make regulations with respect to bills subject to and in accordance with this Act and shall furnish to the Local Government Board a copy of any regulations so made Such regulations shall provide--

(A) for regulating the preparation form mode of issue mode of payment and cancellation of bills;

(B) for regulating the issue of a new bill in lieu of one defaced lost or destroyed;

(C) for preventing by the use of counterfoils or of a special description of paper or otherwise fraud in relation to bills;

(D) for the proper discharge to be given upon the payment of a bill:

(9) The Board may enter into such arrangements as they may think proper with any banker firm of bankers or banking company for carrying into effect the provisions of this Act with respect to the issue of bills and to the payment of the principal sum named therein and to all matters relating thereto and for proper remuneration for services rendered with reference thereto:

(10) The amount of money received by the Board in respect of a bill shall be deemed to be principal money raised by means of such bill and the difference between the amount payable in respect of a bill and the amount received in respect thereof shall be deemed to be interest on the principal money so raised:

(11) The Board shall pay at the appropriate times into a sinking fund or sinking funds the same sums for repayment of the principal money so raised as they would have done if mortgages of the same amount

had been granted and such fund or funds shall be dealt with in the same manner as if the same were a mortgage sinking fund: A.D. 1906.

- (12) The aggregate amount payable on bills current at any one time shall not exceed the sum of one million pounds except by the amount payable on bills issued shortly before any other bills fall due in order to pay off those bills:
- (13) The Board may subject to the provisions of the preceding subsections renew bills at maturity:
- (14) Money raised by the issue of bills shall be employed by the Board for the purposes of the several statutory borrowing powers in respect of which the bills are respectively issued:
- (15) For the repayment of the principal money raised by bills the Board may raise money by the issue of further bills or by the same method or methods by which the Board were authorised to raise the principal money if it had not been raised previously by means of bills under this section but save as aforesaid the powers given to the Board to raise moneys by the creation and issue of such stock or mortgages shall be suspended to the extent to which moneys have been raised by the issue of bills:
- (16) A Metropolitan Water Board bill shall entitle the holder to payment at maturity of the sum expressed in such bill to be payable and shall be charged on the water fund and all the revenues of the Board:
- (17) The clerk of the Board shall within twenty-one days after the thirty-first day of March in any year during which any bills have been issued or paid off or are outstanding under this section transmit to the Local Government Board a return in such form as that Board may prescribe and containing all such particulars as they may require in regard to the issue and payment of bills by the Board.

23. All expenses incurred by the Board in the execution of the purposes of this Act and not otherwise provided for including the payment of interest on any stock issued or moneys borrowed for those purposes and the redemption of such stock and

Expenses of
execution of
Act.

A.D. 1906. — the repayment of such moneys but excluding expenses properly chargeable to capital and payable out of borrowed moneys shall be paid out of the water fund.

Costs of Act. **24.** All the costs charges and expenses preliminary to and of and incidental to the preparing applying for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Board.

The SCHEDULE referred to in the foregoing Act.

A.D. 1906.

A.

FORM OF MORTGAGE.

By virtue of the Metropolitan Water Board Act 1906 the Metropolitan Water Board in consideration of the sum of paid to the said Board by of for the purposes of the said Act hereby grants and assigns unto the said his executors administrators and assigns such proportion of the water fund and revenues of the said Board as the said sum of doth or shall bear to the whole sum which is or shall be borrowed on the credit of the said fund and revenues to hold to the said his executors administrators and assigns from the day of the date hereof until the said sum of with interest at the rate of per centum per annum for the same shall be fully paid and satisfied And it is hereby declared that the said principal sum shall be repaid on the day of at .
Dated this day of .

B.

FORM OF TRANSFER OF MORTGAGE.

I of in consideration of the sum of paid to me by of do hereby transfer to the said his executors administrators and assigns a certain mortgage bearing date the day of and made by the Metropolitan Water Board under the Metropolitan Water Board Act 1906 for securing the sum of and interest thereon at per centum per annum [*or if such transfer be by indorsement on the mortgage insert instead of the words immediately following the word "assigns" "the within security"*] and all my right estate and interest in and all the money thereby secured and any and all the fund and revenues thereby assigned.

In witness whereof I have hereunto set my hand and seal this day of .

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